Chapter summary

Familiarising yourself with **items in green** is important for effective revision.
Paying attention to items in the boxes is helpful for understanding the concept(s).

3.1 Firms

- A **firm**
  - is a planning unit of production.
  - makes decisions regarding the employment of factors of production and the production of goods and services.
  - can exist without a physical location.
- A firm is different from a **plant**.
- The ownership of firms can be divided into **public ownership** and **private ownership**.

3.2 Public Enterprise

- A **public enterprise** is a firm that is wholly owned, operated and managed by the government or its agencies.
- Public enterprises usually do not aim at profit maximisation.

A public enterprise still faces competition from private enterprises, e.g. competition for inputs.

Types of public enterprises

- Government departments
  - Government departments financed directly by the government
  - Government departments financed by trading funds
- Public corporations

Features of public enterprises

- Adequate and stable sources of capital
- Better access to information and statistical data
- Reliable supply of goods and services at lower prices
- Higher average production costs

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3.3 Private Enterprise

- A **private enterprise** is a firm that is privately owned.
- Features of different types of private enterprises:

	Sole proprietorship	Partnership	Limited company	
			Private limited company	Public limited company
Number of owners	1	2 or above	1-50	1 or above
Legal status	not a legal entity		a legal entity	
Liability	**unlimited liability** (i.e. the owner's **liability is not confined to the amount of the initial investment**)		**limited liability** (i.e. the owner's **liability is confined to the amount of the initial investment**)	
Continuity	limited		lasting	
Profits tax rate	lower than limited company		higher than sole proprietorship and partnership	
Set-up procedure	more simple than limited company		more complicated than sole proprietorship and partnership	
Transfer of ownership	-	needs the consent of all partners	needs the consent of other shareholders	freely transferrable
Disclosure of accounting information	no	to partners only	to its shareholders only	to the general public
Sources of capital	• narrower than limited company • cannot issue shares and bonds		• wider than sole proprietorship and partnership • can issue shares and bonds, but they cannot be freely traded on the stock exchange	• wider than sole proprietorship and partnership • can issue shares and bonds to the public

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3.4 Sources of Capital

Features of shares and bonds

- **Shares**: certificates of ownership which represent the ownership of shareholders in a limited company
- **Bonds**: certificates of debt issued by a limited company to raise capital
- Comparison of shares and bonds:



The shareholder of a listed company is not necessarily a person. It can be a limited company.

	Shares	Bonds
Status of holders	owners of the company	creditors of the company
Rate of return	variable rates of dividend	fixed rate of interest
Voting rights	holders having voting rights at the AGM	holders not having voting rights at the AGM
Maturity	no maturity date	a fixed maturity date
Priorities for repayment if the company winds up	holders repaid after bondholders	holders claiming repayment before shareholders

Advantages and disadvantages of issuing shares and bonds to raise capital

	Issuing shares to raise capital	Issuing bonds to raise capital
Advantages	• The company has no obligation to pay dividends to shareholders. • The company has no obligation to redeem the shares. • The company's ability to obtain new loans from banks will not be affected.	• Existing shareholders' control over the company will not be diluted. • The risk of the company being taken over will not be increased.
Disadvantages	• Existing shareholders' control over the company will be diluted. • The risk of the company being taken over will be increased.	• The company has an obligation to pay a fixed rate of interest to bondholders. • The company has an obligation to redeem bonds from the bondholders. • The company's ability to obtain new loans from banks will not be affected.

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Advantages and disadvantages of buying shares and bonds from small investors' point of view

	Buying shares	Buying bonds
Advantages	• Shareholders have voting rights at the AGM. • Dividend rate may be higher if the company makes huge profits.	• The rate of return is more certain. • Bondholders can claim repayment before shareholders if the company winds up.
Disadvantages	• The rate of return is uncertain. • Shareholders are the last to claim repayment if the company winds up.	• Bondholders do not have voting rights at the AGM. • Bondholders cannot get extra returns even if the company makes huge profits.



The return on shares can be higher or lower than that on bonds.

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